



# PAGERO

## Country Compliance Report: **Bulgaria**

Information class: Restricted



## Country Compliance Report: Bulgaria

Report operational: 24 November 2022  
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## Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

*The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.*





# 1. Terminology

This section outlines general and country-specific terminology for Bulgaria, which will be used throughout the whole document.

| Term              | Explanation                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>B2B</b>        | Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer                                                                                                                                                                                                                                                                                                                                                      |
| <b>B2G</b>        | Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies                                                                                                                                                                                                                                                                                                                                 |
| <b>B2C</b>        | Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.                                                                                                                                                                                                                                                                                                                  |
| <b>NRA</b>        | National Revenue Agency. This agency is in charge of Bulgarian VAT.                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>DDS</b>        | Danak varhu Dobawenata Stoinost. Local VAT name in Bulgaria.                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Post Audit</b> | The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure or how they should be issued or distributed. The tax audits are performed afterward. |



## 2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Bulgaria, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

| Item                                                                                                   | Commentary                                                                                                                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Authorities and other agencies relevant for e-invoicing</b>                                         | <ul style="list-style-type: none"><li>• <a href="#">National Revenue Agency</a></li><li>• <a href="#">Ministry of Transport, Information Technology and Communications</a></li><li>• <a href="#">Ministry or Region Developments and Public Works</a></li></ul> |
| <b>Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention</b> | <ul style="list-style-type: none"><li>• <a href="#">Public Procurement Act</a></li><li>• <a href="#">VAT Act</a></li><li>• <a href="#">Law on Electronic Document and Electronic Signature</a></li></ul>                                                        |



### 3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

| Item                                                        | Commentary                                                                                                                                                                                                                                                                                                                                          |
|-------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>E-invoice status</b>                                     | <ul style="list-style-type: none"><li>• Allowed</li></ul>                                                                                                                                                                                                                                                                                           |
| <b>Varying invoicing regimes<sup>1</sup></b>                | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                                                                                                                                                                                                                                                               |
| <b>e-Invoicing model</b>                                    | <ul style="list-style-type: none"><li>• <b>B2G:</b> Voluntary</li><li>• <b>B2B:</b> Post-Audit</li></ul>                                                                                                                                                                                                                                            |
| <b>e-Invoice definition<sup>2</sup></b>                     | <ul style="list-style-type: none"><li>• There is no legal definition of elnvoice in the Bulgarian tax legislation.</li><li>• EU definition: An electronic invoice is an invoice that has been issued, transmitted and received in a structured electronic format that enables it to be processed automatically and electronically.</li></ul>        |
| <b>Scope of taxpayers the e-document mandate applies to</b> | <ul style="list-style-type: none"><li>• Mandatory for Issuing:<ul style="list-style-type: none"><li>◦ No explicit requirements</li></ul></li><li>• Mandatory for Receiving:<ul style="list-style-type: none"><li>◦ B2G: All contracting authorities must be able to process and receive <a href="#">EN-compatible</a> invoices.</li></ul></li></ul> |
| <b>Mandatory AoR (document response) process</b>            | <ul style="list-style-type: none"><li>• No explicit requirement.</li></ul>                                                                                                                                                                                                                                                                          |
| <b>Implementation / roll-out plan</b>                       | <ul style="list-style-type: none"><li>• No official plan</li></ul>                                                                                                                                                                                                                                                                                  |

<sup>1</sup> It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

<sup>2</sup> Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



## 4. Before switching to e-invoices

### 4.1. IT<sup>3</sup> registration

The following thresholds apply to the requirement to be registered for an IT number in Bulgaria:

- Exemption for small businesses – BGN 50.000 (EUR 26.000). This VAT threshold exemption for small businesses is expected to change as of 1 January 2023 to BGN 100.000 (EUR 51.200), and as of 1 January 2024 to BGN 166.000 (EUR 85000).
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – BGN 20.000 (EUR 10.200)
- Application of the special scheme for distance selling – BGN 70.000 (EUR 36.000)

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

IT number format in Bulgaria:

- For established businesses: BG123456789 (BG + 9 digits)
- For non-established businesses: BG1234567890 (BG + 10 digits)

The VAT registration form should be completed in Bulgarian following a standard template and should be submitted in hard copy together with all supporting documents. If originating in a foreign language, they should be accompanied by an official translation into Bulgarian.

Online registration is also possible via a qualified electronic signature registered with the Bulgarian tax authorities on their web interface: <https://inetdec.nra.bg/eservices.html>

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<sup>3</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.



## 4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

| Item                                                                                                                     | Commentary                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Actions towards authorities, required in order to enable electronic processing instead of conventional processing</b> | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                      |
| <b>Actions between the trading partners, e.g. customer acceptance, agreement, etc.</b>                                   | <ul style="list-style-type: none"> <li>Buyer consent is required, but it can be tacit, e.g. by processing or payment of the invoices</li> </ul> |
| <b>Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed</b>    | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                      |

## 4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

| Item                                                                                                                                  | Commentary                                                                                                                    |
|---------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| <b>Whether outsourcing of invoice issuance (creation) is allowed or not</b>                                                           | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                                                                     |
| <b>Whether statement of outsourced issuance is required on the invoice</b>                                                            | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                    |
| <b>Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf</b>         | <ul style="list-style-type: none"> <li>Not explicitly required. However, strongly recommended</li> </ul>                      |
| <b>Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party</b>                       | <ul style="list-style-type: none"> <li>Certain content is recommended, i.a. the process for issuance of e-Invoices</li> </ul> |
| <b>Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance</b> | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                    |
| <b>Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer</b>                     | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                    |

#### 4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Bulgaria has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



## 5. Document processing

### 5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

| Item                                                                                                             | Commentary                                                                                                          |
|------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| <b>Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties</b> | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                              |
| <b>Other document format(s) commonly used for exchange between trading parties</b>                               | <ul style="list-style-type: none"><li>• PDF</li></ul>                                                               |
| <b>Mandated platform(s) required to have connection with for e-document processing</b>                           | <ul style="list-style-type: none"><li>• There is no common e-Invoicing platform</li></ul>                           |
| <b>Other platform(s) relevant for e-document processing</b>                                                      | <ul style="list-style-type: none"><li>• N.a.</li><li>• B2G: <a href="#">Electronic Public Procurement</a></li></ul> |
| <b>Schematron(s), XSD schema or other official mechanisms ensuring document content</b>                          | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                              |

|                                                                                                                                  |                                                        |
|----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|
| <b>Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange</b> | <ul style="list-style-type: none"> <li>N.a.</li> </ul> |
| <b>Other technical aspects</b>                                                                                                   | <ul style="list-style-type: none"> <li>No</li> </ul>   |

## 5.2. Communication with Mandatory Infrastructure

There is no mandatory infrastructure in Bulgaria.

| Communication options | Commentary                                             |
|-----------------------|--------------------------------------------------------|
| <b>Automated</b>      | <ul style="list-style-type: none"> <li>N.a.</li> </ul> |
| <b>Manual</b>         | <ul style="list-style-type: none"> <li>N.a.</li> </ul> |
| <b>Other options</b>  | <ul style="list-style-type: none"> <li>N.a.</li> </ul> |

## 5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

### 5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

- (1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms and other business-related preferences.
- (2) The key requirements are to ensure that the document content, document integrity and authenticity, as well as archiving requirements, fulfil Bulgarian laws and those of those of the respective trading partner.
- (3) Neither the document format nor the exchange mechanism is regulated.

### 5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Use of e-invoicing for cross-border documents is not explicitly regulated in Bulgaria.

## 5.4. Reception and validation process

This section describes the document reception, validation, and acceptance processes from the buyer perspective.



### 5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No explicit requirements.

### 5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

Use of e-invoicing for cross-border documents is not explicitly regulated in Bulgaria.

## 5.5. AoR (response) process

No explicit requirement on the Recipient to provide to the Supplier confirmation / notification that an eInvoice has been received.

## 5.6. Mandatory Infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

There is no mandatory infrastructure conducting validations in Bulgaria.

## 5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

Invoices can be issued on paper or in electronic form. In both cases it is required to prepare duplicate copies - one copy thereof is left for the recipient (original) and at least one for the invoicing party (supplier). However, there is no specific requirement to mark up the copy with the wording "copy" and the original with the wording "original".

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

Parallel invoicing is not specified by law in Bulgaria, however, only one of the invoices will be considered **original**. Therefore the original should contain the text "original" and for the other one it is recommended to insert **"copy" on the invoice**.

## 5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

| Item                               | Commentary                                                                 |
|------------------------------------|----------------------------------------------------------------------------|
| <b>Push communication</b>          | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul> |
| <b>Pull communication</b>          | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul> |
| <b>E-mail distribution</b>         | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                  |
| <b>Webportal<sup>4</sup></b>       | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                  |
| <b>Scanning inbound invoices</b>   | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                  |
| <b>Scanning outbound invoicing</b> | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                  |

## 5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

| Rectification process                                                                                                                  |                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| <b>What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice</b>       | <ul style="list-style-type: none"> <li>Credit note</li> </ul>          |
| <b>What are the options to correct an invoice if the customer returns the goods</b>                                                    | <ul style="list-style-type: none"> <li>Credit note</li> </ul>          |
| <b>What are the options to correct an invoice if the customer paid too much</b>                                                        | <ul style="list-style-type: none"> <li>Credit note</li> </ul>          |
| <b>What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer</b>    | <ul style="list-style-type: none"> <li>Credit note</li> </ul>          |
| <b>What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.</b> | <ul style="list-style-type: none"> <li>Invoice cancellation</li> </ul> |
| <b>Other scenarios with different correction option</b>                                                                                | <ul style="list-style-type: none"> <li>N.a</li> </ul>                  |
| <b>Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)</b>                          | <ul style="list-style-type: none"> <li>Supplier</li> </ul>             |

<sup>4</sup> Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

|                                                                                                                                                                       |                                                        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|
| <b>Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document</b> | <ul style="list-style-type: none"> <li>• No</li> </ul> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|

## 5.10. Coexistence of paper and electronic invoices

| Item                                                                                                                                                                                                   | Commentary                                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it</b> | <ul style="list-style-type: none"> <li>• No explicit requirements</li> </ul>                                                                                                                      |
| <b>Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving</b>                                  | <ul style="list-style-type: none"> <li>• Not allowed</li> </ul>                                                                                                                                   |
| <b>Whether any conditions apply, and which, to the dematerialisation</b>                                                                                                                               | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                                                                                                                          |
| <b>Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving</b>                              | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• However, the original electronic version must be archived, as the printed copy is not valid for tax nor archiving purposes</li> </ul> |
| <b>Whether any conditions apply, and which, to the materialisation</b>                                                                                                                                 | <ul style="list-style-type: none"> <li>• The original electronic version must be archived, as the printed copy is not valid for tax nor archiving purposes</li> </ul>                             |

## 5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Contingency scenarios are not applicable in Bulgaria.



## 6. Document content requirements

### 6.1. Document types

| Item                                                | Commentary                                                                                      |
|-----------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Documents mandatory for issuance by supplier</b> | <ul style="list-style-type: none"><li>• Complete invoice</li><li>• Simplified invoice</li></ul> |
| <b>Documents mandatory for issuance by buyer</b>    | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                          |

| Item                              | Commentary                                                                                                                              |
|-----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Self-billing allowed</b>       | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                                                   |
| <b>Simplified invoice allowed</b> | <ul style="list-style-type: none"><li>• Yes</li><li>• Total amount including VAT does not exceed EUR 100 or equivalent in BGN</li></ul> |

### 6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

#### 6.2.1. Document numbering by the taxpayer

| Item                                                                                                                                       | Commentary                                                                                                                                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>A sequential number, based on one or more series, which uniquely identifies the invoice</b>                                             | <ul style="list-style-type: none"><li>• Yes</li><li>• invoices are required to have 10-digit sequential numbering (increasing and with no gaps).</li><li>• A combination of letters and numbers is possible. Corrective invoices do not require their own sequence</li></ul> |
| <b>Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)</b> | <ul style="list-style-type: none"><li>• Yes</li><li>• Each series should meet the general numbering requirements</li></ul>                                                                                                                                                   |

|                                                                                                                                                                               |                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Allowed to start a new sequential numbering every year</b>                                                                                                                 | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                  |
| <b>Worldwide numbering on legal entity level allowed provided that gaps can be explained</b>                                                                                  | <ul style="list-style-type: none"> <li>If the issuer has different sub-divisions, the numbering may be based on one or more series/ranges.</li> </ul> |
| <b>Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)</b> | <ul style="list-style-type: none"> <li>Yes</li> </ul>                                                                                                 |

### 6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

There is no additional document numbering in Bulgaria.

### 6.3. Indirect tax (IT)<sup>5</sup> rates

This section illustrates the applied IT<sup>6</sup> rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

| Indirect tax rates |                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|--------------------|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 20%                | <b>Standard</b> | All other goods and services                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| 9%                 | <b>Reduced</b>  | Hotel accommodation<br>The supply of central heating and natural gas, including their importation and intra-Community acquisition, until 1 July 2023                                                                                                                                                                                                                                                                                                                 |
| 0%                 | <b>Zero</b>     | Exportation of goods, International transport and related services, Intra-Community supplies, Services related to the international traffic of goods, Inward processing of goods (under certain conditions), Supplies related to duty-free trade, Intermediary services of agents, brokers or other intermediaries related to zero-rated supplies,<br>The supply of bread and flour, including their importation and intra-Community acquisitions, until 1 July 2023 |
|                    | <b>Exempt</b>   | Certain real estate transactions, Leasing of residential buildings to individuals, Financial services, Insurance and reinsurance services, Medical care services Education, cultural and sports services, Betting and gambling                                                                                                                                                                                                                                       |

### 6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Bulgaria. Please note

<sup>5</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

<sup>6</sup> Local name VAT (ДАНЪК ВЪРХУ ДОБАВЕНАТА СТОЙНОСТ)



that other additional content requirements might apply in addition, i.a. of technical character.

| General                                                                                                                |                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Required to mention the word "invoice"                                                                                 | <ul style="list-style-type: none"> <li>• Yes</li> <li>• Invoice - "Фактура"</li> </ul>                                                                                                       |
| Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements: | <ul style="list-style-type: none"> <li>• Invoices can be issued in other languages; however Bulgarian translation is always likely to be requested during tax inspections/audits.</li> </ul> |
| Sequential numbering                                                                                                   | <ul style="list-style-type: none"> <li>• Yes, consisting of 10 digits</li> </ul>                                                                                                             |
| Required to mention copy or duplicate in case a copy is issued                                                         | <ul style="list-style-type: none"> <li>• No</li> <li>• The originals should contain the label "Original"</li> </ul>                                                                          |
| Reference in case of outsourced issuance                                                                               | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                       |

| Supplier data                                                                                                           |                                                                                                                                           |
|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Full legal name of the supplier                                                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Allowed to abbreviate or shorten the legal name of the supplier                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Full address of the supplier in country of establishment                                                                | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Allowed to mention the PO box address instead of the legal address of the supplier                                      | <ul style="list-style-type: none"> <li>• Yes, provided that the legal address is mentioned as well and it is clearly indicated</li> </ul> |
| IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes | <ul style="list-style-type: none"> <li>• Yes, if a registration is available in the country of supply</li> </ul>                          |
| IT identification number of the supplier in the country of establishment                                                | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)                 | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Legal form of the supplier                                                                                              | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Trade register number of the supplier                                                                                   | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)                         | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Place of legal seat of the supplier (Headquarters)                                                                      | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Other supplier data                                                                                                     | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |

| Customer data                                                                                                                               |                                                                                                                                           |
|---------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Full legal name of the customer                                                                                                             | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Allowed to abbreviate or shorten the legal name of the customer                                                                             | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Address of the customer in country of establishment                                                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Bill-to address when it is different from the registered address of the customer                                                            | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer                                    | <ul style="list-style-type: none"> <li>• Yes, provided that the legal address is mentioned as well and it is clearly indicated</li> </ul> |
| IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)            | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies                          | <ul style="list-style-type: none"> <li>• Yes, if available</li> </ul>                                                                     |
| IT identification number of the customer in another Member than the Member State of arrival for intra-Community supplies                    | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                   |
| Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative) | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                    |
| Other customer data                                                                                                                         | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                                                                  |

| Transaction data                                                      |                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Date of issue                                                         | <ul style="list-style-type: none"> <li>• Yes</li> <li>• It is compulsory that invoices/notes are to be issued within 5 days of the date of the taxable event (including the receipt of the advance payment). Intra-community supply of goods should be invoiced by 15th of the month following the taxable event month, at the latest.</li> </ul> |
| Date of supply (chargeable event)                                     | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                           |
| Date of prepayment                                                    | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                           |
| Description of the goods/services                                     | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                           |
| Quantity of the goods supplied or the extent of the services supplied | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                           |
| Purchase order number                                                 | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                            |

|                                                                                                                                       |                                                                                                                                    |
|---------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>Shipped from location (for the supply of goods)</b>                                                                                | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• Especially in case of cross-border transactions</li> </ul> |
| <b>Shipped to location (for the supply of goods)</b>                                                                                  | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• Especially in case of cross-border transactions</li> </ul> |
| <b>Status of the goods (e.g. in bond, in free circulation)</b>                                                                        | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• Especially in case of cross-border transactions</li> </ul> |
| <b>Incoterms</b>                                                                                                                      | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• Especially in case of cross-border transactions</li> </ul> |
| <b>Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                             |

| <b>Financial data</b>                                                                                                       |                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Taxable base per item (unit price excl. IT)</b>                                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Total taxable base per IT rate or exemption</b>                                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>IT rate applied</b>                                                                                                      | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Total IT amount calculated per rate</b>                                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Total IT amount payable</b>                                                                                              | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Discounts/rebates if not included in the unit price</b>                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Total gross amount (including IT)</b>                                                                                    | <ul style="list-style-type: none"> <li>• Yes</li> <li>• Mandatory only if the amount due for payment is different from the sum of the taxable base and the VAT. Even when the amount due equals the sum of the VAT base and the VAT, the total amount is usually indicated on the invoices</li> </ul> |
| <b>Mandatory to mention the total IT amount due in the national currency</b>                                                | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                               |
| <b>Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country</b> | <ul style="list-style-type: none"> <li>• The taxable and VAT amount should also be mentioned in the national currency (Bulgarian Leva)</li> </ul>                                                                                                                                                     |
| <b>Exchange rate (if the invoice is not issued in the local currency)</b>                                                   | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• The amounts on the invoice may be issued in any currency, as long as the taxable base and the tax payable is stated in BGN. Including the exchange rate is not mandatory, but it is advisable.</li> </ul>                     |

|                                                                 |                                                                                                                                                                                   |
|-----------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Which exchange rate must be applied in order of priority</b> | <ul style="list-style-type: none"> <li>• Official exchange rate of the Bulgarian National Bank; or</li> <li>• The exchange rate published by the European Central Bank</li> </ul> |
| <b>Terms of payment</b>                                         | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                           |
| <b>IBAN and BIC number of supplier</b>                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                            |

| <b>Specific references for invoices</b>                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Invoice reference in case of IT exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>List the required references in case of exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>• Invoices should refer to the legal framework in case of exemption/reverse-charge. there is no single list, but the legal provisions are in the VAT legislation.</li> </ul>                                                                                                                                                                                                                                                                                                                                             |
| <b>Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?</b> | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable</b>                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"> <li>• No</li> <li>• To substantiate the zero VAT rate on an intra-Community supply, the supplier should have an invoice indicating the EU VAT registration number of the customer. In addition, the supplier should have one of the following: <ul style="list-style-type: none"> <li>◦ Transport documents such as a bill of lading for road transportation under the Convention on the Contract for the International Carriage of Goods by Road (CMR), which verify the transportation of the goods</li> </ul> </li> </ul> |

- outside Bulgaria to another EU Member State
  - If the customer is responsible for organizing the transportation, a written confirmation (реквизити на писменото потвърждение) from the customer for delivery of the goods, which should contain specific wording indicating the date and place of delivery, type and quantity of the goods, type, model and registration number of the vehicle that transported the goods, names and positions of the persons delivering and receiving the goods.
- Margin scheme for taxable dealers of second-hand goods, works of art, collectors' items, and antiques
  - Cash accounting scheme for VAT: available for taxable persons with annual turnover in the previous 12 consecutive months not higher than the equivalent in Bulgarian currency of EUR 500.000
  - Mini One-Stop Shop for taxable persons providing broadcasting, telecommunication and electronic services to non-taxable customers in other EU Member States
  - Special scheme for investment gold
- Invoices may not be issued for supply of financial and insurance services, airplane tickets, free of charge supplies, electronically supplied services by non-EU persons, sales in public tenders.
- Taxable persons which are registered under the special regime for B2C supplies of telecommunication, broadcasting and electronic services should not charge VAT for the supplies different than the supplies under the said special regime. In this case, the supplier should show on its invoice the grounds for non-charging VAT being "art.

|                                                                                                                                                                           |                                                                                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                           | 113, para. 9 of the VAT Act" (чл. 113, ал. 9 от ЗДДС).                                                                                     |
| <b>Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions</b>                                                   | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                       |
| <b>Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)</b>                              | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                       |
| <b>Specific references required in case invoicing is outsourced</b>                                                                                                       | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                       |
| <b>Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment</b> | <ul style="list-style-type: none"> <li>Yes</li> </ul>                                                                                      |
| <b>Other specific requirements/references to be mentioned on an invoice</b>                                                                                               | <ul style="list-style-type: none"> <li>Other requirements might be imposed, though this is case, industry, type of tax specific</li> </ul> |

## 6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

| Simplified invoicing                                               |                                                                                                                                                                                                                          |
|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Possible to issue simplified invoices for certain supplies</b>  | <ul style="list-style-type: none"> <li>Yes</li> </ul>                                                                                                                                                                    |
| <b>Maximum amount for simplified invoices</b>                      | <ul style="list-style-type: none"> <li>EUR 100, or its equivalence</li> </ul>                                                                                                                                            |
| <b>Other supplies for which a simplified invoice can be issued</b> | <ul style="list-style-type: none"> <li>N.a.</li> </ul>                                                                                                                                                                   |
| <b>Simplified invoices limited to certain type of supplies</b>     | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                     |
| <b>Simplified invoices not allowed for certain transactions</b>    | <ul style="list-style-type: none"> <li>Yes</li> <li>Simplified invoice not available for supplies with place of supply in the territory of another Member State, Intra-community supplies and distance sales.</li> </ul> |



|                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Minimum content requirements on a simplified invoice</b>                           | <ul style="list-style-type: none"> <li>Simplified invoices should contain all of the information required for ordinary invoices except for: VAT rate, amount payable, grounds for not charging VAT, circumstances that define the traded goods as "new vehicles".</li> </ul>                                                                                                                                                                                                      |
| <b>Invoices subject to the national invoice requirements (not self-bills)</b>         | <ul style="list-style-type: none"> <li>Invoices issued by a non-established supplier on which VAT is due by the supplier</li> <li>Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer</li> <li>Invoices issued by an established supplier that are taxable in another country but where VAT is due by the supplier</li> <li>Invoices issued by an established supplier that are taxable in our country</li> </ul> |
| <b>(other) Invoices subject to the national invoice requirements (not self-bills)</b> | <ul style="list-style-type: none"> <li>N.a.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                            |

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

## 6.6. Rectification document

In Bulgaria, Debit note and Credit note must be issued as rectification documents. A Credit note/Debit note should include at least the following information:

| <b>Specific references for rectification documents</b>                                                                          |                                                                                                                                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Must the word "credit note" be mentioned</b>                                                                                 | <ul style="list-style-type: none"> <li>Yes <ul style="list-style-type: none"> <li>Debit note - "Дебитно известие"</li> <li>Credit note - "Кредитно известие"</li> </ul> </li> </ul> |
| <b>Reference to original invoice required on a credit note</b>                                                                  | <ul style="list-style-type: none"> <li>Invoice number and date</li> </ul>                                                                                                           |
| <b>Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')</b> | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                |
| <b>Reason for credit required</b>                                                                                               | <ul style="list-style-type: none"> <li>Yes</li> </ul>                                                                                                                               |

## Sequential numbering

|                                                                       |       |
|-----------------------------------------------------------------------|-------|
| <b>Separate sequential credit note numbering required</b>             | • No  |
| <b>Allowed to issue one credit note to correct different invoices</b> | • Yes |

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

## 6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There is no other optional content in Bulgaria.



## 7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

| Item                                                                                          | Supplier                                                                                        | Recipient                                                                                                                 |
|-----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <b>Whether it is mandatory to ensure I&amp;A in the jurisdiction</b>                          | <ul style="list-style-type: none"><li>• Yes</li></ul>                                           | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                                     |
| <b>Which methods for ensuing I&amp;A are provisioned for</b>                                  | <ul style="list-style-type: none"><li>• Any means Business Controls, EDI, e-signature</li></ul> | <ul style="list-style-type: none"><li>• Any means Business Controls, EDI or e-signature<br/>Validation accepted</li></ul> |
| <b>Which requirements apply for I&amp;A methods if ensured by a third-party (outsourcing)</b> | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                      | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                                                |

### 7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

| Item                                      | Commentary                                                                 |
|-------------------------------------------|----------------------------------------------------------------------------|
| <b>e-Signature technical requirements</b> | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| <b>Automated e-signing</b>                | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| <b>Time-stamping of e-signature</b>       | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |

## 7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

| Item                             | Commentary                                                                 |
|----------------------------------|----------------------------------------------------------------------------|
| Validation upon receipt          | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| Time-stamping of validation data | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |



## 8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

| Item                                                                                                             | Commentary                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Components to be stored (e.g. tax invoice, source documents, audit trail, I&amp;A proof)</b>                  | <ul style="list-style-type: none"><li>• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate</li></ul>      |
| <b>Requirements to present stored documents in a specific audit format</b>                                       | <ul style="list-style-type: none"><li>• No requirements for capabilities to transform to audit format</li></ul>                                                             |
| <b>Legibility, i.e. the ability to read stored e-documents by an untrained eye</b>                               | <ul style="list-style-type: none"><li>• Required</li></ul>                                                                                                                  |
| <b>Legibility requirements</b>                                                                                   | <ul style="list-style-type: none"><li>• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability</li></ul> |
| <b>Retention period for invoices not related to immovable property<sup>7</sup></b>                               | <ul style="list-style-type: none"><li>• 10 Years</li></ul>                                                                                                                  |
| <b>Start point of retention period calculation for invoices not related to immovable property</b>                | <ul style="list-style-type: none"><li>• From January 1 of the accounting period following the accounting period to which they refer</li></ul>                               |
| <b>Retention period for e- invoices related to immovable property</b>                                            | <ul style="list-style-type: none"><li>• 10 Years</li></ul>                                                                                                                  |
| <b>Start point of retention period calculation for invoices related to immovable property</b>                    | <ul style="list-style-type: none"><li>• From January 1 of the accounting period following the accounting period to which they refer</li></ul>                               |
| <b>Retention period for other than regular invoices or invoices related to immovable property (if existing):</b> | <ul style="list-style-type: none"><li>• N.a</li></ul>                                                                                                                       |

<sup>7</sup> Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

|                                                                                                                                         |                                                                                                                                                                                         |
|-----------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Start point of retention period calculation for other than regular invoices or invoices related to immovable property:</b>           | <ul style="list-style-type: none"> <li>• N.a</li> </ul>                                                                                                                                 |
| <b>Outsourced archiving</b>                                                                                                             | <ul style="list-style-type: none"> <li>• Allowed</li> </ul>                                                                                                                             |
| <b>Archiving abroad<sup>8</sup> and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)</b> | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• The database storing the eInvoices should be accessible by the revenue authorities during tax control procedures</li> </ul> |
| <b>Other requirements in relation to electronic document retention</b>                                                                  | <ul style="list-style-type: none"> <li>• N.a</li> </ul>                                                                                                                                 |

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<sup>8</sup> In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.





## 9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

| Document                   | Commentary                                                                                   |
|----------------------------|----------------------------------------------------------------------------------------------|
| Purchase order             | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                   |
| Rectification document     | <ul style="list-style-type: none"><li>• Yes, see <a href="#">section 6.6</a> above</li></ul> |
| Payment instruction        | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                   |
| SAF-T (or alike) reporting | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                   |
| Transportation documents   | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                   |
| Other                      | <ul style="list-style-type: none"><li>• N.a</li></ul>                                        |



## 10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

### 10.1. Public procurement

The Public Procurement Agency created a dedicated [portal](#) detailing guidance for compliance.

According to the Art. 115a. [\(new – State Gazette \(SG\) 86/18 \[1\],\[2\]\)](#), in force from 1 November 2019, in the case of payment under public procurement contracts, all contracting authorities are obliged to accept and process eInvoicing, this to comply with the [Directive 2014/55/EU](#) [3] and implement the European standard on electronic invoicing.

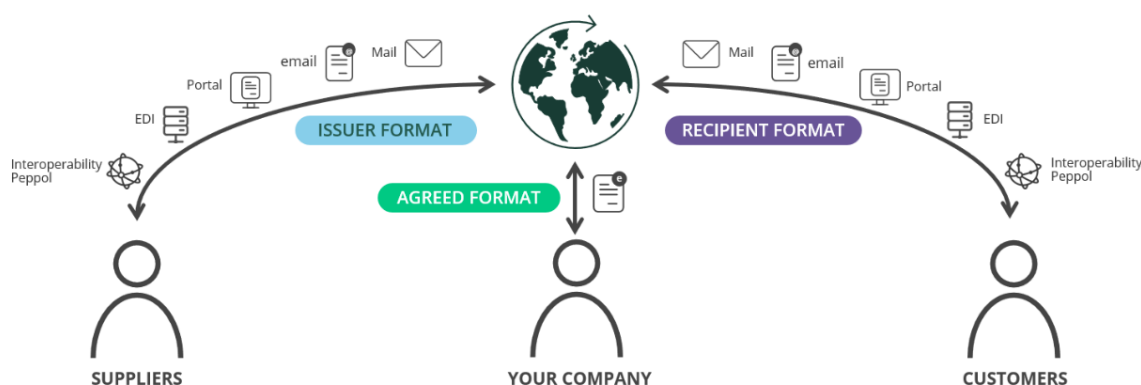
### 10.2. Indirect tax reports

No explicit requirement.

## 11. Country-specific processing

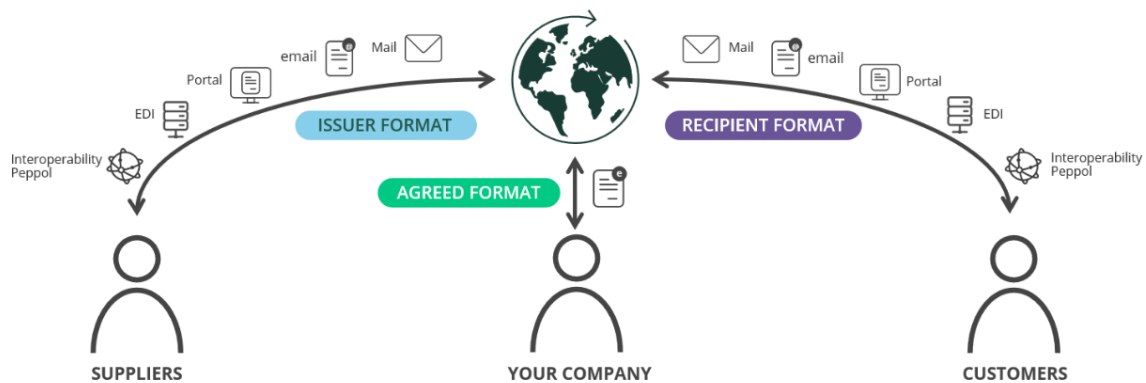
This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

### 11.1. Document issuance (AR) with Pagero



- (1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- (2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- (4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

## 11.2. Document reception (AP) with Pagero



- (5) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- (6) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (7) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- (8) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.



## 12. Closing statements

### 12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

### 12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.





## Revision history

| Date             | What has changed                           |
|------------------|--------------------------------------------|
| 26 November 2018 | Document created                           |
| 24 May 2022      | Updated VAT threshold for small businesses |
| 22 July 2022     | Updated Indirect Tax Rates table           |
| 24 November 2022 | Document general periodic update           |